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Recycling with the Best

Weekly Ship Recycling Report

13 July - 19 July 2024

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Highlights of the week

The ship recycling sectors in four key destinations faced challenges this week. In India, the industry continues to struggle with disruptions from the monsoon season, with no immediate improvement in sight as recyclers await the budget announcement. Bangladesh saw no progress, with ongoing issues like Letters of Credit difficulties and unrest from protests exacerbating the situation. Pakistan's market is inactive, relying on increased scrap imports due to unworkable vessel prices. Meanwhile, Turkiye's market remained steady but low in ship supply, reflecting subcontinental trends.

As per the official letter issued by GMB, a delegation from the European Parliament is scheduled to visit Alang in January/February 2025 to audit the ship recycling yards, including Priya Blue. This visit is part of their ongoing efforts to ensure compliance with international environmental and safety standards. The delegation aims to assess the operational practices, working conditions, and environmental impact of these facilities. The new agreement, pending formal adoption, allows EU-flagged ships trading in non-EU waters to be recycled at non-OECD yards listed on the EU-approved list, provided these yards are acceptable on the EU List. It will provide the Indian ship recycling yards with an opportunity to showcase their compliance with the highest standards in the industry and to receive valuable feedback for continuous improvement.

Exchange Rates:

USD / INR ₹

This Week	: 83.63
Previous Week	: 83.51
Lost	: 0.12

USD / BDT ৳

This Week	: 117.71
Previous Week	: 117.29
Lost	: 0.42

USD / PKR Rs

This Week	: 278.09
Previous Week	: 278.39
Gained	: 0.30

USD / TRY ₺

This Week	: 33.11
Previous Week	: 33.02
Lost	: 0.09

India

Market stays sluggish and stagnant amid persistent challenges and monsoon impact.

- The situation remains challenging, mirroring the difficulties of previous weeks. The election results announced on June 4, which dashed expectations of a thumping majority, combined with the onset of the monsoon season, have caused substantial disruptions.

- Unfortunately, this unfavorable condition is expected to persist as the monsoon season continues to impact the industry's performance. With July ending, immediate improvement looks bleak. Recyclers are also waiting for the budget announcement to assess the situation.

- India's rapid economic growth and increased tax revenues provide a unique opportunity in the 2024–25 budget, set for July 23. The budget will likely increase spending on infrastructure and welfare programs, particularly rural housing, while maintaining fiscal deficit targets to ensure economic stability. This approach balances development initiatives with fiscal responsibility.

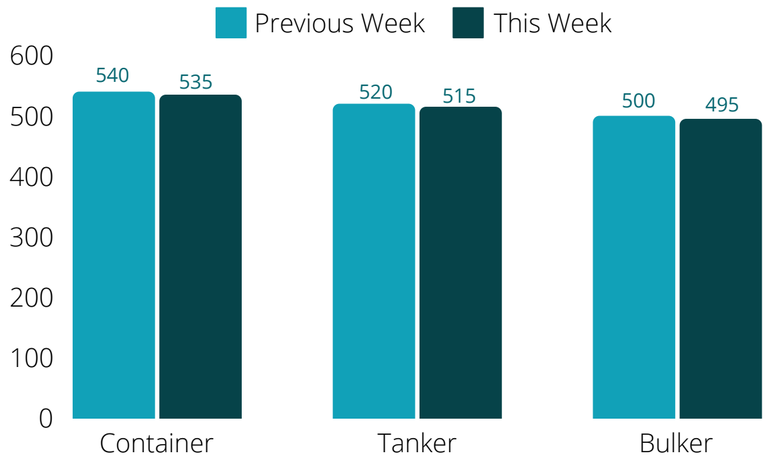
Beaching Dates

19 July to 27 July 2024

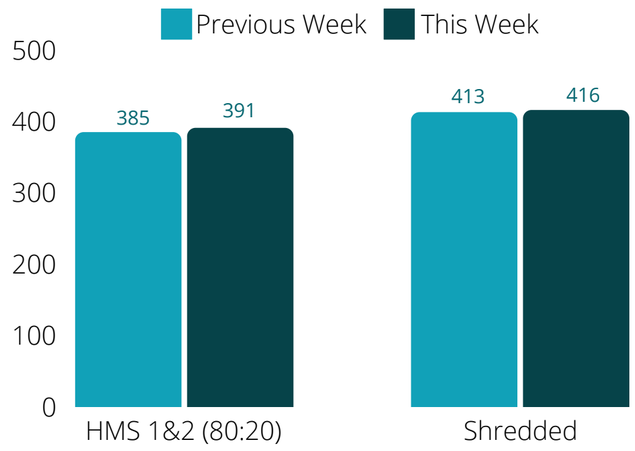
31 July to 08 August 2024

17 August to 26 August 2024

Price for Recycling Ships in India



Price of HMS 1&2 (80:20) and Shredded



Bangladesh

Ongoing market stagnation is exacerbated by nationwide shutdown and unrest.

- The market has experienced no improvements over the last few weeks, including the current one. Conditions have remained largely the same, with ongoing issues such as difficulties with LCs and recyclers displaying minimal interest.

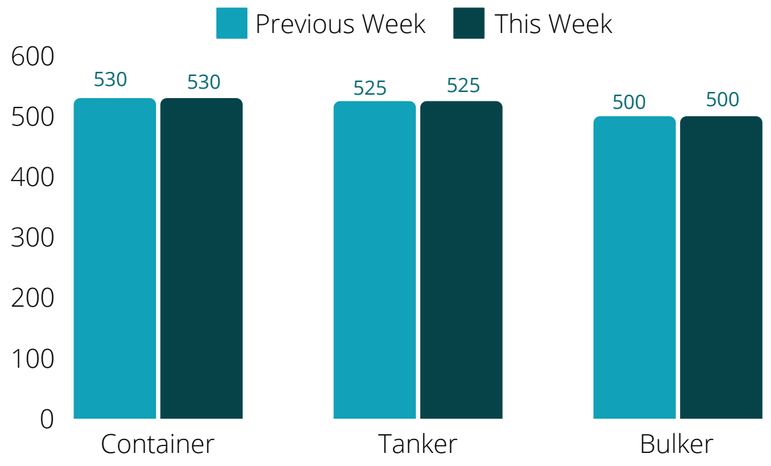
- The nationwide shutdown and unrest prompted by the quota protesters are likely to exacerbate these challenges, further disrupting economic activities and complicating logistics and operations in the ship recycling sector.

- Bangladesh's banking sector is invited to support the ship recycling industry for economic and environmental benefits. At the IMO's Safe and Environmentally Sound Ship Recycling (SENSREC) Project Summit in Chattogram (3–4 July 2024), discussions focused on funding sustainable recycling through loans and investments. Participants toured upgraded recycling yards, with the event inaugurated by officials from Bangladesh, Norway, and the UN.

Beaching Dates

21 July to 24 July 2024
04 August to 07 August 2024
19 August to 22 August 2024

Price for Recycling Ships in Bangladesh



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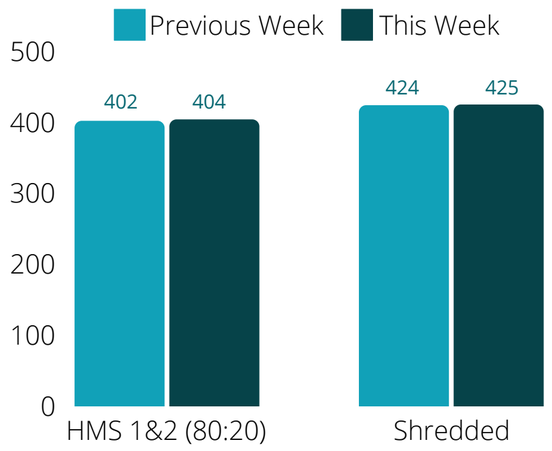


Pakistan

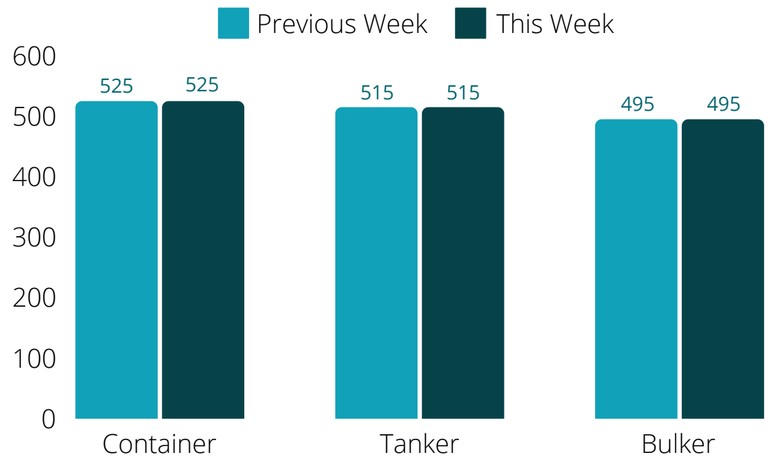
Market stagnates as increased scrap imports compensate for unworkable vessel prices.

- This ship recycling market is missing in action, experiencing a lull with no significant activity.
- The demand is being met through increased scrap imports because current vessel prices are not workable in Pakistan. This situation is reflected in the unchanged market for end products and vessel prices.
- In our previous reports, we highlighted the federal cabinet's decision to shut down Pakistan Steel Mills, the nation's largest industrial facility. Now, the Board of Directors has strongly opposed this move, warning it could lead to significant unrest and dissatisfaction. They criticized the decision for its lack of consultation with the board, stakeholders, and economic experts, raising concerns about the transparency and inclusiveness of the process.

Beaching Dates

Throughout the month

Price for Recycling Ships in Pakistan



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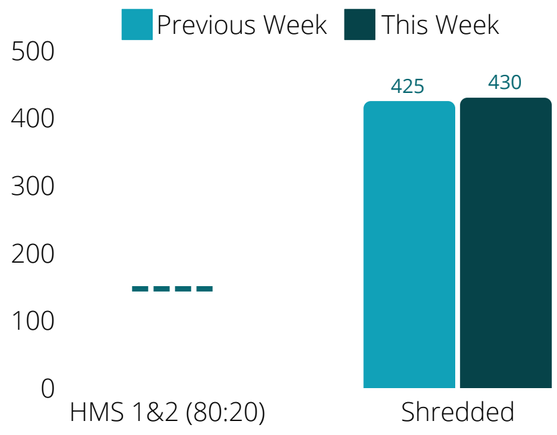
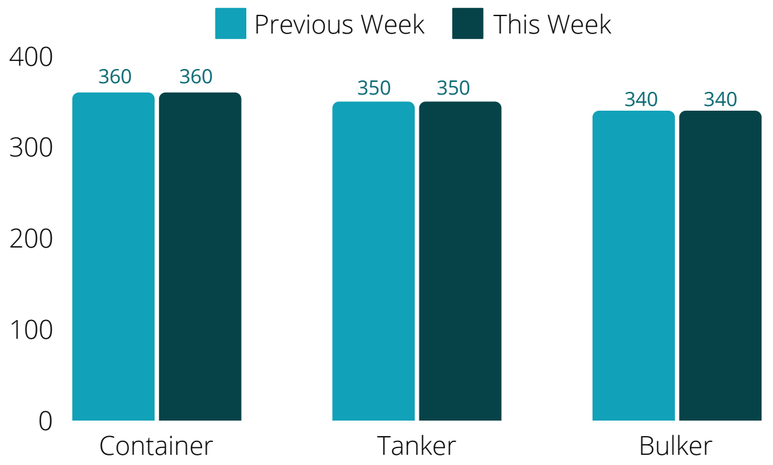


Türkiye

The market is stable, but the supply of tonnage remains critically low.

- The market has remained steady over the past week, with no significant fluctuations.
- The supply of ships for recycling continues to be low, reflecting the trends seen in the subcontinent.
- Inflation in Turkiye is projected to fall to "optimal levels" by the end of the year, according to the government, as the economic program begins to yield positive results. Efforts are dedicated to ensuring that citizens do not endure severe financial hardships due to rising prices.

Price for Recycling Ships in Türkiye



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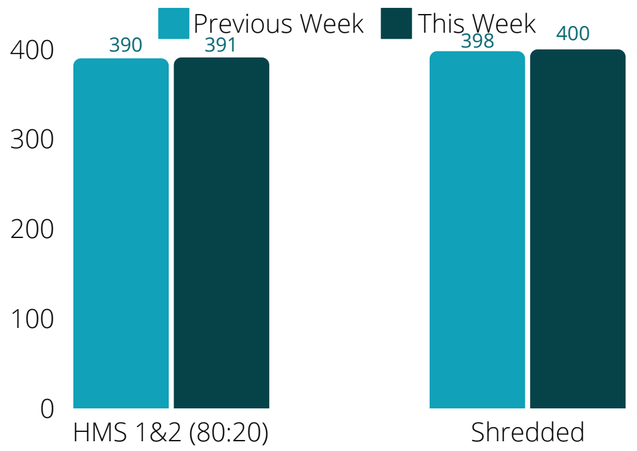
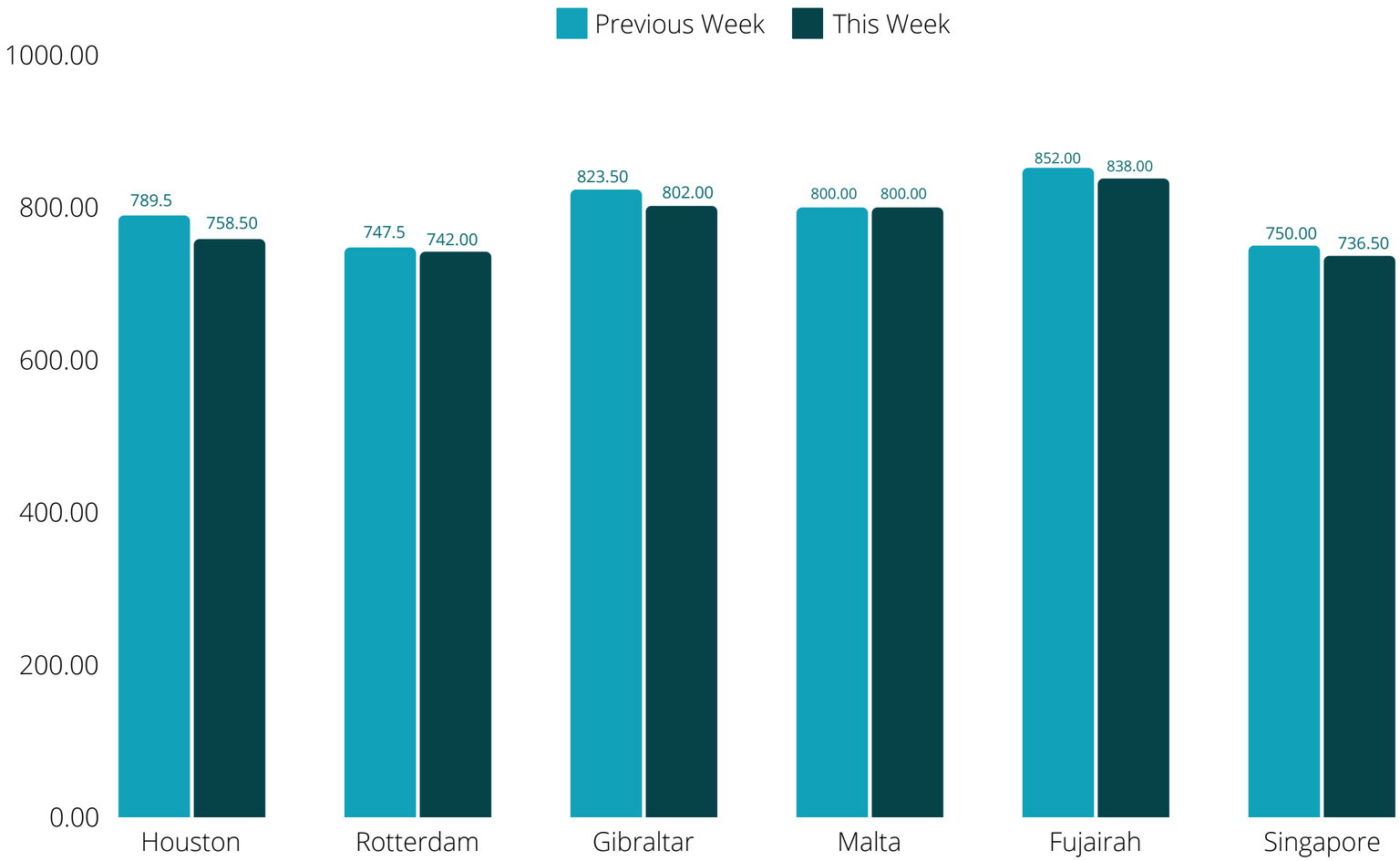


Beaching Dates

Throughout the month

Bunker Prices at Port



Brent Crude

This Week	: 84.53
Previous Week	: 85.38
Movement	: - 0.85

WTI Crude

This Week	: 82.12
Previous Week	: 82.57
Movement	: - 0.45

List of Vessels Sold this Week

VESSEL NAME	TYPE OF VESSEL	IMO NO.	YEAR OF BUILD	COUNTRY OF BUILD	LDT	TERM OF SALE	LOCATION OF DELIVERY	SALE PRICE/LDT (USD)
EVER EXPRESS	GENERAL CARGO SHIP	9335214	2004	CHINA	1,377	DELIVERED	CHITTAGONG,BANGLADESH	490
PAN	GENERAL CARGO SHIP	8410378	1984	GERMANY	1,662	DELIVERED	CHITTAGONG,BANGLADESH	532
EMPIRE PERSIA	OSV	7125811	1972	UNITED KINGDOM	1,972	DELIVERED	DENMARK	UNDISCLOSED
WATERMARK ST. GEORGE	CONTAINER	9139634	1998	TURKIYE	5,380	AS-IS	CURACAO	300
SU ZHOU HAO	RORO & PASSENGER	9030632	1992	JAPAN	5,903	AS-IS	ZHOUSHAN, CHINA	446
MSC IRIS	CONTAINER	8201624	1982	GERMANY	10,655	DELIVERED	ALANG, INDIA YARDS AS PER MSC LIST	UNDISCLOSED
SHUN DA FA ZHAN	BULKER	-	1994	KOREA	7,985	AS-IS	ZHEJIANG, CHINA	UNDISCLOSED

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